

27th August, 2015

Mr. Paul Muthaura
Ag. Chief Executive
Capital Markets Authority
Embarkment Plaza
NAIROBI

Dear Sir,

HOMEAFRIKA LIMITED – AUDITED HALF YEAR FINANCIAL STATEMENTS FOR THE PERIOD ENDED 30th JUNE 2015

The above subject refers.

In compliance with the continuing listing obligations of the Capital Markets (public offers, listing and obligations regulations - 2002), we hereby submit to you the unaudited financial statements for the 6 months period ended 30th June 2015 which were approved by the Board of Directors at their meeting held on 26th August 2015.

We intend to publish the results of the company in the daily newspapers on Friday 28th August 2015.

Yours faithfully,

Njoroge Ng'ang'a

CHIEF EXECUTIVE OFFICER

cc. Mr. Geoffrey Odundo,
Chief Executive Officer
Nairobi Securities Exchange
The Exchange, Westlands Road
NAIROBI

The Directors of Home Afrika limited are pleased to announce the audited Group results for the 6 Months period ended 30th June 2015.

Condensed Statement of Profit or Loss And Other Comprehensive Income	6 Months to 30 June	
	2015 Shs '000'	2014 Shs '000'
Revenue	216,843	550,420
Cost of sales	<u>(219,820)</u>	<u>(326,383)</u>
Gross (loss)/profit	(2,977)	224,037
Other operating income	39,832	8,561
Selling and distribution expenses	(21,753)	(18,296)
Administration expenses	(63,081)	(125,589)
Other operating expenses	<u>(11,186)</u>	<u>(15,579)</u>
Operating (loss)/profit	(59,165)	73,134
Finance costs	<u>(52,740)</u>	<u>(4,906)</u>
(Loss)/profit for the period	(111,905)	68,228
Tax charge	<u>(6,247)</u>	<u>(25,319)</u>
Total Comprehensive (Loss)/profit for the period	<u>(118,152)</u>	<u>42,909</u>
Profit attributable to:		
-Owners of the parent	(112,794)	30,696
-Non –controlling interest	<u>(5,358)</u>	<u>12,213</u>
	<u>(118,152)</u>	<u>42,909</u>
(Loss)/earnings per share		
-basic and diluted	<u>(0.28)</u>	<u>0.08</u>

Condensed Statement of Financial Position	As at June 2015 Shs'000'	As at December 2014 Shs '000'
CAPITAL EMPLOYED		
Share capital	405,656	405,255
Share premium	68,842	68,842
Accumulated deficit	(299,527)	(185,170)
Non –Controlling interest	55,457	59,455
Non- current liabilities	<u>989,890</u>	<u>864,659</u>
	<u>1,220,318</u>	<u>1,213,041</u>
REPRESENTED BY		
Non-current assets	801,664	750,648
Current assets	3,054,922	2,967,988
Current liabilities	2,636,268	2,505,595
Net current assets	<u>418,654</u>	<u>462,393</u>
	<u>1,220,318</u>	<u>1,213,041</u>

Explanatory notes: These results are extracted from the consolidated financial statements of Home Afrika Limited for the 6 months period ended 30th June 2015.

CEO's STATEMENT

Home Afrika Ltd is pleased to present the group's financial results for the 6 months to 30th June 2015. The Group reported a drop in revenue and the corresponding cost of sales to Kshs.217Million from Kshs.550Million and Kshs219Million from Kshs.326Million representing a 60% and 33% reduction respectively from a comparative period the previous year.

The group received the anticipated long term funding of Ksh.500million during Q1 with outlay into the projects commencing in Q2. Cost rationalization measures began to bear fruit with a significant 50% reduction in administrative overheads.

There was an increase in finance costs due to the effect of the private placement financing and cessation of capitalising of interest at the now completed Mitini Scapes phase 1 project.

Total assets grew to Kshs. 3.8 billion from Kshs. 3.7 billion in 2014 on account of an increase in inventories from the new projects and the improved valuation of investment properties. Accelerate

OUTLOOK

The deployments of funding and major activations have picked pace. Mitini Scapes phase 1 at the flagship Migaa project was completed in July 2015 with handover to home owners ongoing. Key infrastructure works including roads, boundary wall, electric fence, water and sewer reticulation are accelerating and provide a base for significant inventory growth even in the challenging real estate environment.

With the private placement proceeds being utilized in completion of infrastructure development, there was a decrease in gross margins on account of sales mix with most of the sales units relating to residential plots that are assigned a substantial portion of these infrastructure costs. We expect to achieve higher margins going forward as the higher margin commercial properties come to market.

The group therefore anticipates the resultant benefits in the form of revenues from the continued utilization of the proceeds from the debt to be generated in the second half of 2015 though market turnover challenges remain.

The directors remain confident of the substantial underlying long term value and profit generation in the periods ahead.

The directors do not recommend a dividend for the period ending 30th June 2015

Njoroge Ng'ang'a
Chief Executive Officer
27th August, 2015